responsible. Some of these funds don't invest in certain industries, such as tobacco, liquor, or firearms. Others zero in on firms that treat employees well by providing child care services and promoting women and minorities, as well as green companies that deal with energy conservation and environmental issues.

A socially minded company might perform about the same as the market as a whole. But some people argue that the outlook for these types of companies is stronger in the long run because they pay attention to good business practices. It's really about your personal priorities rather than your financial goals. If it feels meaningful to you to support socially responsible companies, choose a mutual fund with this focus. As always, steer clear of any fund that charges a load or that has an unusually high expense ratio.

Vanguard has its own socially conscious fund, the Vanguard FTSE Social Index Fund. The expense ratio is just 0.24%, making this one of the cheapest funds in the category, but you'll still need $3,000 to get into it. Pax World (www.paxworld.com) offers a balanced fund that requires only $250 to start, but it's a lot more expensive, charging 0.96% in fees. Most other social funds charge at least 1%. For more information, go to www.socialfunds.com, which analyzes and links to socially aware mutual funds.

BUYING INDIVIDUAL STOCKS

By now you know that my advice to anyone wanting to get involved in the stock market is to stick with mutual funds—specifically index funds. But I feel compelled to offer some advice to readers who want to ignore me and buy individual stocks. Here are some tips:

- **Cut your costs and buy direct.** Many companies, particularly large ones like General Electric and AT&T, allow you to purchase shares from the company (that is, without going through a broker) through something called a **dividend reinvestment plan,** or **DRIP.** DRIPs often have low minimum investment requirements ($100 or less) and charge very low or no commissions. Although some